

KENYA ELECTRICITY GENERATING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2020

Kenya Electricity Generating Company Plc
Financial Statements
For the year ended 30 June 2020

Statement of profit or loss and other comprehensive income

	Note	2020 Shs'000	2019 Shs'000
Revenues from contracts with customers			
Electricity revenue	4 (a)	33,783,190	29,796,983
Steam revenue	4 (a)	5,549,684	5,871,921
Fuel charge	4 (a)	4,155,499	10,111,516
Water charge	4 (a)	181,774	185,226
Revenue from Branch	4 (a)	440,344	-
Total revenue		44,110,491	45,965,646
Reimbursable expenses			
Fuel costs	5	(4,106,504)	(10,006,336)
Water costs	5	(181,786)	(185,226)
Total reimbursable expenses		(4,288,290)	(10,191,562)
Revenue less reimbursable expenses		39,822,201	35,774,084
Other income	6	472,526	618,822
Other gains – net	7	6,382,970	3,179,185
Operating income		46,677,697	39,572,091
Expenses			
Depreciation and Amortization	8 (a)	(12,029,561)	(10,360,330)
Employee expenses	8 (b)	(7,082,496)	(6,800,376)
Steam costs	8 (c)	(3,160,582)	(3,357,126)
Plant operation and maintenance expenses	8 (d)	(1,503,237)	(1,512,278)
Other expenses	8 (e)	(2,298,971)	(2,257,402)
Operating profit		20,602,850	15,284,579
Finance income	9	1,431,118	1,423,062
Finance costs	10	(8,244,181)	(5,053,924)
Profit before income tax		13,789,787	11,653,717
Income tax credit/(expense)	11(a)	4,587,306	(3,769,382)
Profit for the year		18,377,093	7,884,335
Earnings per share:			
Basic and diluted (Shs per share)	12	2.79	1.20
Dividends per share - (Shs)	34	0.30	0.25

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Statement of profit or loss and other comprehensive income (continued)

	Note	2020 Shs'000	2019 Shs'000
Profit for the year		18,377,093	7,884,335
Other comprehensive income, net of income tax:			
Items that will not be reclassified subsequently to profit or loss			
Remeasurement of retirement benefit asset	28(a(ii))	(496,824)	(106,804)
Deferred income tax thereon	25	124,206	32,041
		(372,618)	(74,763)
Items that may be reclassified subsequently to profit or loss when specific conditions are met:			
Net (loss)/gains on revaluation on investments in financial instruments measured at FVOCI	22	(2,656)	18,147
Deferred income tax thereon	25	664	(5,444)
		(1,992)	12,703
Other comprehensive loss for the year, net of tax		(374,610)	(62,060)
Total comprehensive income for the year		18,002,483	7,822,275

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As at 30 June 2020

Statement of financial position

		2020 Shs'000	2019 Shs'000
ASSETS			
Non-current assets			
Property, plant and equipment	Note 13	352,429,914	346,737,310
Leasehold land	14	-	4,110,583
Intangible assets	15	1,528,948	1,524,693
Right of Use assets	16	4,936,545	-
Financial asset at amortized cost	17	3,317,298	3,319,106
Financial asset at fair value through profit or loss	18	16,676,152	11,958,359
Retirement benefit asset	28b)	-	143,025
		<u>378,888,857</u>	<u>367,793,076</u>
Current assets			
Inventories	19	1,371,280	1,324,294
Trade receivables	20	23,402,447	18,855,494
Corporate tax recoverable	11(c)	305,068	150,942
Financial asset at amortized cost	17	42,911	41,061
Financial asset at fair value through profit or loss	18	1,136,184	1,116,274
Other receivables and prepayments	21	2,099,012	2,597,941
Financial asset at fair value through other comprehensive income	22	365,180	367,837
Cash and bank balances	23	5,315,991	9,175,330
		<u>34,038,073</u>	<u>33,629,173</u>
TOTAL ASSETS		412,926,930	401,422,249
EQUITY AND LIABILITIES			
Equity attributable to owners			
Share capital	24	16,487,710	16,487,710
Share premium	24	22,151,131	22,151,131
Other reserves	25	67,235,860	69,696,451
Retained earnings	26	105,443,687	86,629,244
		<u>211,318,388</u>	<u>194,964,536</u>
Non-current liabilities			
Borrowings	27	137,349,668	128,771,882
Deferred income tax	29	43,974,146	48,868,799
Lease liability	30	744,568	-
Grants	31	200,000	-
Trade and other payables	32	2,284,107	3,219,566
		<u>184,552,489</u>	<u>180,860,247</u>
Current liabilities			
Borrowings	27	8,481,495	12,463,018
Trade and other payables	32	5,358,822	9,127,256
Provision for compensating tax	33	1,361,022	2,161,022
Lease liability due within one year	30	206,083	-
Dividends payable	34	1,648,631	1,846,170
		<u>17,056,053</u>	<u>25,597,466</u>
TOTAL EQUITY AND LIABILITIES		412,926,930	401,422,249

The financial statements on pages 17 to 104 were approved and authorised for issue by the Board of Directors on

..... 2021 and were signed on its behalf by:

.....
General (Rtd) Samson Mwathethe
Chairman

.....
Kairu Bachia
Director

.....
Rebecca Miano
Managing Director & CEO

Kenya Electricity Generating Company Plc
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Statement of changes in equity

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Total Shs'000
As at 1 July 2019	16,487,710	22,151,131	69,696,451	86,629,244	194,964,536
Profit for the year	-	-	-	18,377,093	18,377,093
-Net gains on revaluation on investments in financial instruments measured at FVOCI	-	-	(2,656)	-	(2,656)
- Deferred income tax thereon	-	-	664	-	664
-Remeasurement of retirement benefit asset	-	-	(496,824)	-	(496,824)
-Deferred income tax relating to remeasurement of defined benefit asset	-	-	124,206	-	124,206
Total comprehensive for the year	-	-	(374,610)	18,377,093	18,002,483
Transfer of excess depreciation	-	-	(2,781,308)	2,781,308	-
Deferred tax on excess depreciation	-	-	695,327	(695,327)	-
Dividends declared to equity holders (Note 34)	-	-	-	(1,648,631)	(1,648,631)
As at 30 June 2020	16,487,710	22,151,131	67,235,860	105,443,687	211,318,388
Note	24	24	25	26	

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Statement of changes in equity (continued)

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Total Shs'000
As at 1 July 2018	16,487,710	22,151,131	71,805,994	79,658,790	190,103,625
Transition adjustment initial application of IFRS 9 (Note 2(b))	-	-	-	(462,221)	(462,221)
Deferred tax thereon	-	-	-	138,666	138,666
Profit for the year	16,487,710	22,151,131	71,805,994	79,335,235	189,780,070
-Net gains on revaluation on investments in financial instruments measured at FVOCI	-	-	-	7,884,335	7,884,335
Deferred income tax thereon	-	-	18,147	-	18,147
-Remeasurement of retirement benefit asset	-	-	(5,444)	-	(5,444)
-Deferred income tax relating to remeasurement of defined benefit asset	-	-	(106,804)	-	(106,804)
	-	-	32,041	-	32,041
Total comprehensive for the year	-	-	(62,060)	7,884,335	7,822,275
Transfer of excess depreciation	-	-	(2,924,976)	2,924,976	-
Deferred tax on excess depreciation	-	-	877,493	(877,493)	-
Dividends declared to equity holders (Note 34)	-	-	-	(2,637,809)	(2,637,809)
As at 30 June 2019	16,487,710	22,151,131	69,696,451	86,629,244	194,964,536
Note	24	24	25	26	

Kenya Electricity Generating Company Plc
Financial Statements
For the year ended 30 June 2020

Notes (continued)

Statement of cash flows

		2020	2019
	Note	Shs '000	Shs '000
Cash flows from operating activities			
Cash generated from operations	36(a)	18,365,388	30,305,160
Income tax paid	11(c)	(336,603)	(255,310)
Finance income received	36(b)	628,550	704,921
Payment of compensating tax	33	(800,000)	(170,000)
Net cash generated from operating activities		17,857,335	30,584,771
Cash flows from investing activities			
Purchase of property, plant and equipment	13	(13,662,408)	(24,502,879)
Staff cost capitalized	13	(2,599,713)	(2,906,505)
Interest cost capitalized	13	(1,169,930)	(1,463,181)
Purchase of intangible assets	15	(96,350)	(135,554)
Proceeds from non-current asset held for sale	35	-	200,000
Net cash used in investing activities		(17,528,401)	(28,808,119)
Cash flows from financing activities			
Repayment of borrowings	27(d)	(7,634,806)	(8,780,842)
Proceeds from borrowings	27(d)	6,945,856	16,424,322
Grants	31	200,000	-
Finance costs paid	36(c)	(1,854,322)	(2,757,969)
Dividends paid	34	(1,846,170)	(791,639)
Payment of lease liability	30	(183,564)	-
Net cash (used in)/generated from financing activities		(4,373,006)	4,093,872
Net (decrease)/ increase in cash and cash equivalents		(4,044,072)	5,870,524
Cash and cash equivalents at the beginning of the year		9,324,190	3,383,402
Effects of exchange rate changes on cash held	36(d)	94,179	70,264
Cash and cash equivalents at the end of the year	23	5,374,297	9,324,190

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Kenya Electricity Generating Company PLC (KenGen)

Audited Results for the year ended June 30, 2020

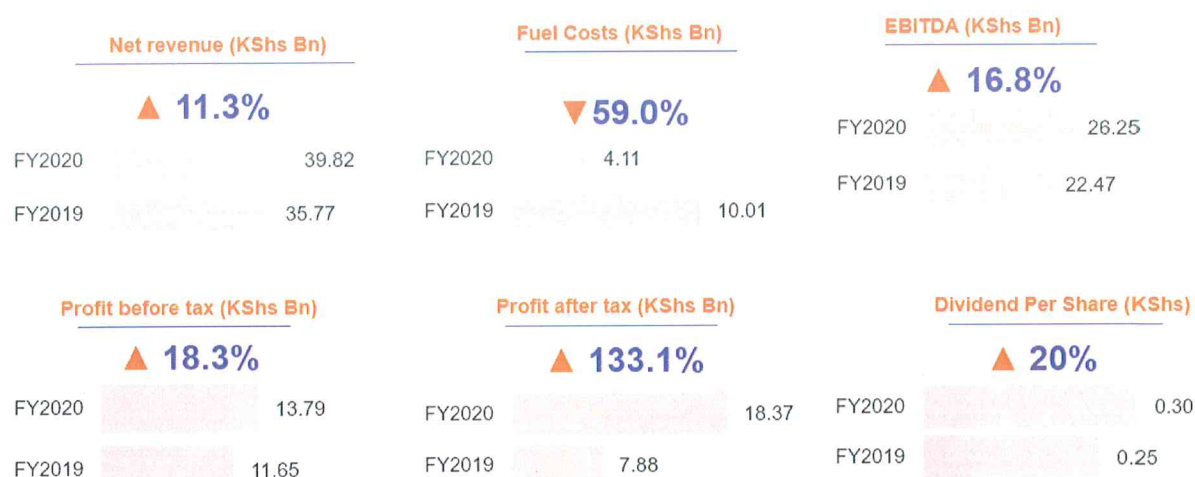
Overview

The Board of Directors of Kenya Electricity Generating Company PLC (KenGen), are pleased to announce the Audited Financial Results for the year ended June 30, 2020.



We are pleased to have delivered a good performance marked by a strong underlying business growth despite the many headwinds posed by the Covid-19 pandemic. We appreciate the support provided by the Government of Kenya and other key stakeholders during these unprecedented times to enable us to continue providing electricity as an essential service. In response to COVID-19 and corresponding health protocols, the Company continues to implement its business continuity measures to minimize the impact of the pandemic on our business operations and liquidity. At the same time, the company put in place measure to stabilize generation of electricity throughout the COVID-19 peak season into the New Year 2021. In the year under review, KenGen recorded a 13.4% growth in electricity revenue, mainly attributable to the full operationalization of our 165MW Olkaria V geothermal power plant in November 2019, which boosted geothermal production by 14%.

Our Performance Highlights



Electricity Supply Situation in Kenya

The country has continued to scale up its electricity production from renewable sources, mainly solar, wind, and geothermal resources in which Kenya is the largest producer in Africa and 8th globally. As of June 30, 2020, the country's total installed capacity was 2,832MW, with 74% (2,085MW) coming from renewable sources. Demand for electricity was partly affected in the second half of the year, owing to restriction measures to stop the spread of COVID-19. However, with the gradual opening of the economy, the peak demand has grown to 1,966MW recorded on December 11, 2020, surpassing the pre-COVID-19 peak demand of 1,926MW. Demand is expected to continue growing, supported by the ongoing investments in the transmission network that will bring increased reliability and competitiveness in the national grid towards universal connectivity

Renewable Energy

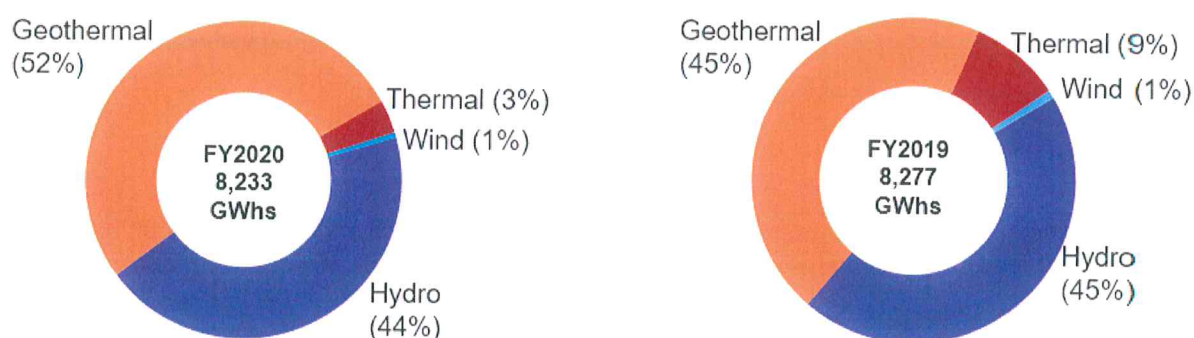
During the year, 92% of national electricity generated was from renewable energy sources, 3.6% higher than the previous year and mainly attributed to the 165MW Olkaria V geothermal power plant. KenGen is committed to the expansion of renewable energy by acting in line with the principles of sustainability in respect of current and future power generation. KenGen has an installed capacity of 1,803 MW (64% of the market share), and supplied 72% of electricity consumed, 97% of which was from renewable sources.

Regulatory Updates

The new Energy Act, 2019, seeks to create an enabling regulatory environment for improved value delivery for all stakeholders. Regulations are being developed to operationalize the act. This will create opportunities for KenGen.

Operational Overview

Geothermal production grew by 14% due to the additional generation capacity of our 165MW Olkaria V geothermal power plant. Hydrological conditions were favourable during the year with our main Dams recording full reservoir capacity. However, hydro production declined by 2% because of the constrained demand associated with the effects of the Covid-19 restriction measures on electricity consumption. The increase in geothermal generation displaced the need for thermal generation which declined by 63% which also compensated for the reduction in wind generation, thereby increasing KenGen's renewable energy footprint in the year. Below graphs present the generation mix.



Financial Performance

Net Revenue (Revenue less reimbursable expenses) increased by 11.3% from KShs 35,774 million in 2019 to KShs 39,822 million for the period under review, primarily because of reduction in fuel revenue associated with thermal plants, which registered a drop of 58.9% owing to displacement of thermal by Geothermal power generation. The Company progressed its revenue diversification ventures, earning a total revenue of KShs 440 million from the ongoing project in Ethiopia.

Reimbursable Expenses comprising mainly of fuel charges declined by 57.9% from KShs 10,192 million reported for the previous year to KShs 4,288 million, owing to reduced dispatch from thermal power plants and reflecting the impact of the 165MW Olkaria V geothermal power plant.

Operating Expenses remained flat despite the increased operations associated with the Olkaria V geothermal power plant, increasing marginally by 0.8% from KShs 13,927 million reported in the previous year to KShs 14,045 million. The Company will continue to optimise operating costs by leveraging on digital transformation across its business operations.

Earnings Before Interest, Taxes, Depreciation, and Amortization (EBITDA) increased by KShs 3,783 million (16.8%) from KShs 22,466 million to KShs 26,249 million. This increase was propelled by completion of Olkaria V which led to 13.4% increase in electricity and additional revenue from our business diversification..

Depreciation and Amortization increased by 16.1% from KShs 10,360 million to KShs 12,030 million due to capitalization of 165MW Olkaria V, Kamburu rehabilitation, recognition of right of use assets among other assets.

Other net gains/(losses) relate to foreign exchange valuations arising from depreciation of the Kenya Shilling. This amount increased by 100.8% from KShs 3,179 million to KShs 6,383 million mainly attributed to gain on fair value of financial assets as a result of weakening of the Kenya Shilling against other major currencies.

Finance Costs increased by 63.1% from KShs 5,054 million to KShs 8,244 million, largely due to a foreign exchange loss of KShs 5,965 million on the Company's foreign exchange dominated borrowings, compared with a loss of KShs 2,507 million in the previous year, as well as the KShs 102 million lease payments following adoption of International Financial Reporting Standards (IFRS) 16 for leases.

Profit before tax grew by 18.3% from KShs 11,654 million to KShs 13,790 million, mainly attributable to additional revenue contribution by 165MW Olkaria V and Ethiopia operations. Consequently, **Profit for the year** improved further by 133.1% from KShs 7,884 million to KShs 18,377 million with a tax credit of KShs 4,587 million. The tax credit was largely due to the impact of the temporary reduction of the corporate tax rate from 30% to 25% introduced as one of the COVID-19 tax relief measures. This tax change led to a decrease in the deferred tax liability by KShs 8,145 million.

Outlook

The business environment remains uncertain and highlights the need to be agile and adaptable to emerging challenges and opportunities. We remain optimistic in the measures being undertaken by the Government to spur economic growth, which will in turn increase power demand and consumption in the Country. Consequently, we remain committed to the implementation of measures that will ensure our employees are well protected as we embrace the new normal.

Going forward, we seek to maintain our growth and performance momentum, driven by both our electricity business and revenue diversification. In 2021, we aim to deliver the Olkaria I Additional Unit 6 geothermal power plant, which will add 83.3MW to the national grid. We also aim to scale up diversification of revenue streams through exploration of further regional and local opportunities, with a focus on delivery of the ongoing projects in Ethiopia.

Dividend

The Board is pleased to recommend a first and final dividend for the year of KShs 0.30(2019: KShs 0.25) per ordinary share of KShs 2.50 which amounts to KShs 1,978 million (2019: KShs 1,649 million)

Annual General Meeting

The Annual General Meeting of the Company will be held on 29th April 2021.

Closure of Register and date of Payment

The Directors propose to recommend to Members at the forth coming Annual General Meeting (AGM) of a first and final dividend for the year ended 30th June 2020 of KShs 0.30 per ordinary share held.

If approved at the aforementioned AGM, the dividend will be paid, less withholding tax where applicable on or about Thursday, 22nd July 2021 to the shareholders whose names appear in the Register of Members at the close of business on Thursday, 29th April 2021.

Appreciation

Finally, we thank the Government of Kenya, our investors, all our employees, our development partners and all stakeholders whose contributions have helped make the Company what it is today. We look forward to working closely with you and capitalise on opportunities the future brings.

By Order of the Board

REBECCA MIANO (MRS.) MBS
MANAGING DIRECTOR & CEO

Summary Statement of Profit or Loss and Other Comprehensive Income for the year ending 30 June 2020

	30 June 2020 KShs Million	30 June 2019 KShs Million
Revenue	44,110	45,966
Reimbursable expenses (Fuel and water costs)	(4,288)	(10,192)
Revenue less reimbursable expenses	39,822	35,774
Other income	473	619
Other (losses)/gains-net	6,383	3,179
	46,678	39,572
Depreciation & amortisation	(12,030)	(10,360)
Operating expenses	(10,884)	(10,571)
Steam Costs	(3,161)	(3,357)
Operating Profit	20,603	15,284
Finance income	1,431	1,423
Finance costs	(8,244)	(5,054)
Profit Before Tax	13,790	11,653
Income tax expense	4,587	(3,769)
Profit After Tax	18,377	7,884
Other Comprehensive Income	(375)	(62)
Total comprehensive income	18,002	7,822
Basic and diluted earnings per share (KShs)	2.79	1.20
Dividend per share (KShs)	0.30	0.25

Summary Statement of Financial Position as at 30 June 2020

	30 June 2020 KShs Million	30 June 2019 KShs Million
ASSETS		
Property, plant and equipment	352,430	346,737
Other non-current Assets	26,459	21,056
Current assets	34,038	33,629
	412,927	401,422
EQUITY AND LIABILITIES		
Share capital	16,488	16,488
Share premium	22,151	22,151
Reserves and retained earnings	172,680	156,326
Non-current liabilities	184,552	180,860
Current liabilities	17,056	25,597
	412,927	401,422

Summary Statement of Changes in Equity for the year ended 30 June 2020.

	Share capital & Share Premium	Other reserves	Retained earnings	Total Equity
	KShs Million			
As at 1 July 2018	38,639	71,806	79,659	190,104
Total comprehensive for the year	-	(62)	7,884	7,822
Transition adjustment initial application of IFRS 9	-	-	(462)	(462)
Deferred tax thereon	-	-	139	139
Transfer of excess depreciation	-	(2,925)	2,925	-
Deferred tax on excess depreciation	-	877	(877)	-
Dividends declared to equity holders	-	-	(2,638)	(2,638)
As at 30 June 2019	38,639	69,696	86,629	194,965
Total comprehensive for the year	-	(375)	18,377	18,002
Transfer of excess depreciation	-	(2,781)	2,781	-
Deferred tax on excess depreciation	-	695	(695)	-
Dividends declared to equity holders	-	-	(1,649)	(1,649)
As at 30 June 2020	38,639	67,236	105,444	211,318

Summary Statement of Cash Flows for the year ended 30 June 2020

	30 June 2020 KShs Million	30 June 2019 KShs Million
Balance at 1 July	9,324	3,383
Net cash generated from operating activities	17,857	30,585
Net cash used in investing activities	(17,528)	(28,808)
Net cash (used in)/generated from financing activities	(4,373)	4,094
Effects of exchange rate changes on cash and cash equivalents	94	70
Balance at June	5,374	9,324

Message from the Directors

The above financial statements are extracts from the Company's financial statements which were audited by the Auditor General, who issued an unqualified opinion. A copy of the full financial statements can be obtained at the Kenya Electricity Generating Company PLC Head Office at KenGen Pension Plaza 2, Parklands, Nairobi and on the Company website: www.kengen.co.ke

The financial statements were approved by the Board of Directors on January 27, 2021 and were signed on its behalf by:

General (Rtd) Samson Mwathethe
Chairman

Mr. Kairu Bachia
Director

Rebecca Miano (Mrs), MBS
Managing Director & CEO

